ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 04 - MITIGATION BLOCKS

We're going to be looking at an amplification of Order Block Theory, we're specifically dealing with the Mitigation Block.

When we look at Mitigation Blocks, what we're looking for is a condition in the marketplace where the market has given clear indications that it wants to break down or move higher in a step-ladder formation, in other words, like selling rallies or buying declines.

- Buying declines in bullish markets

- Selling rallies in a bear market

When we look at the marketplace and we frame price action in the form of resistance levels and support levels or anticipated bearish institutional reference points and anticipated bullish institutional reference points, we have to have a context in the marketplace behind our viewpoints.

- Are we looking at the market that has a bullish scenario?

- Are we looking for a market that has a bearish scenario?

In this example, we're going to look at a market that has a bearish example.

When we're looking at a market that is moving up into a potential bearish resistance level, the market typically will move up and they move into an old high, it could be an old low, it could be a bare shorter block, it could be a breaker that we'll learn more about, it could be a multitude of things that would lead your opinion into the realm of resistance.

Without going into great detail what that may be, there's multiple opportunities to frame that idea of being resistance.

If a resistance level is expected or you anticipate some selling pressure at a particular level as is indicated here, what we do is we wait for price to indicate a confirmation that there are willing sellers up there.

If the market does show repricing then it rallies one more time up to it, what we're going to be doing is monitoring does the market have a willingness to want to break down?

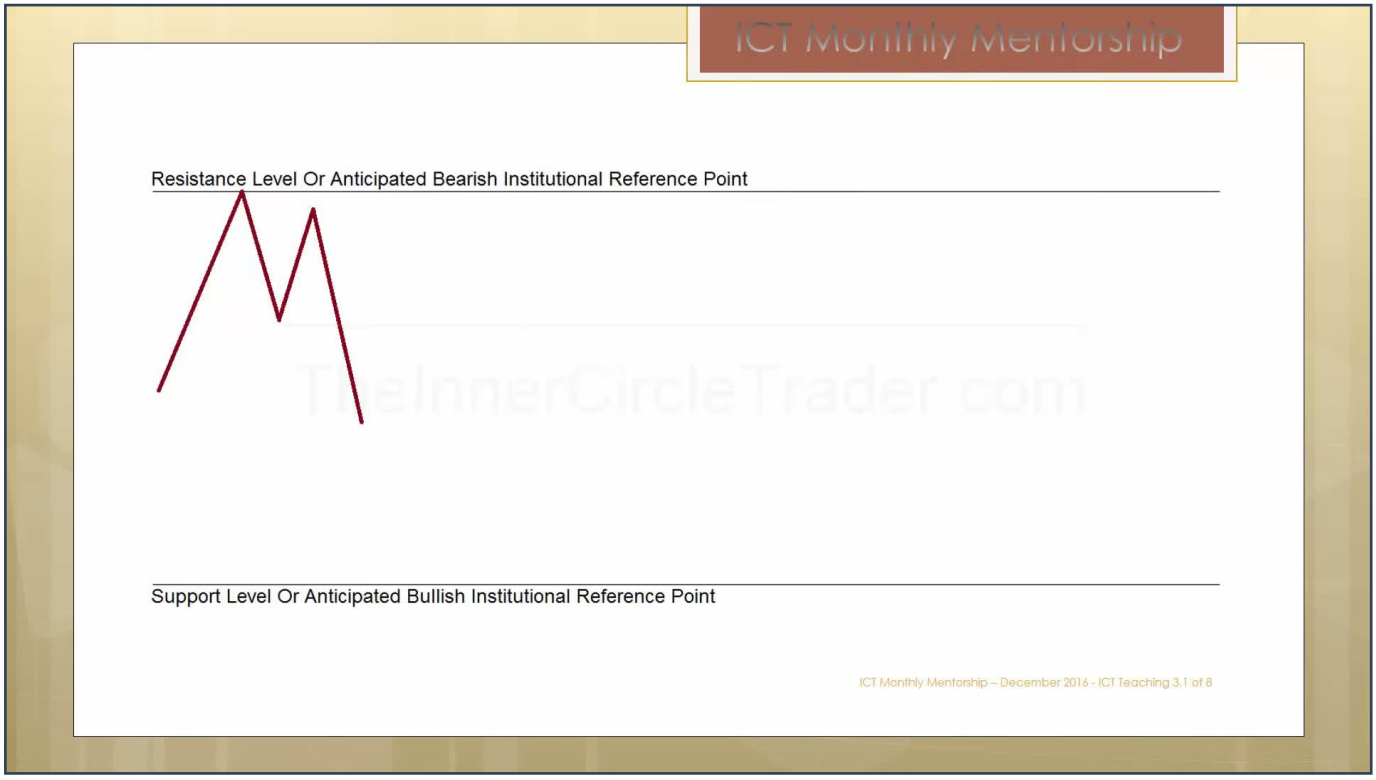
And eventually the market will show signs that it does in fact want to break lower.

Now if you look at this specific pattern here, this is what is referred to as an M pattern, why? Because it looks like a giant M. When you have this pattern here, it's a failure swing with a confirmation break in market structure.

That low right here is what you're going to be utilizing to frame the context of the market structure shift.

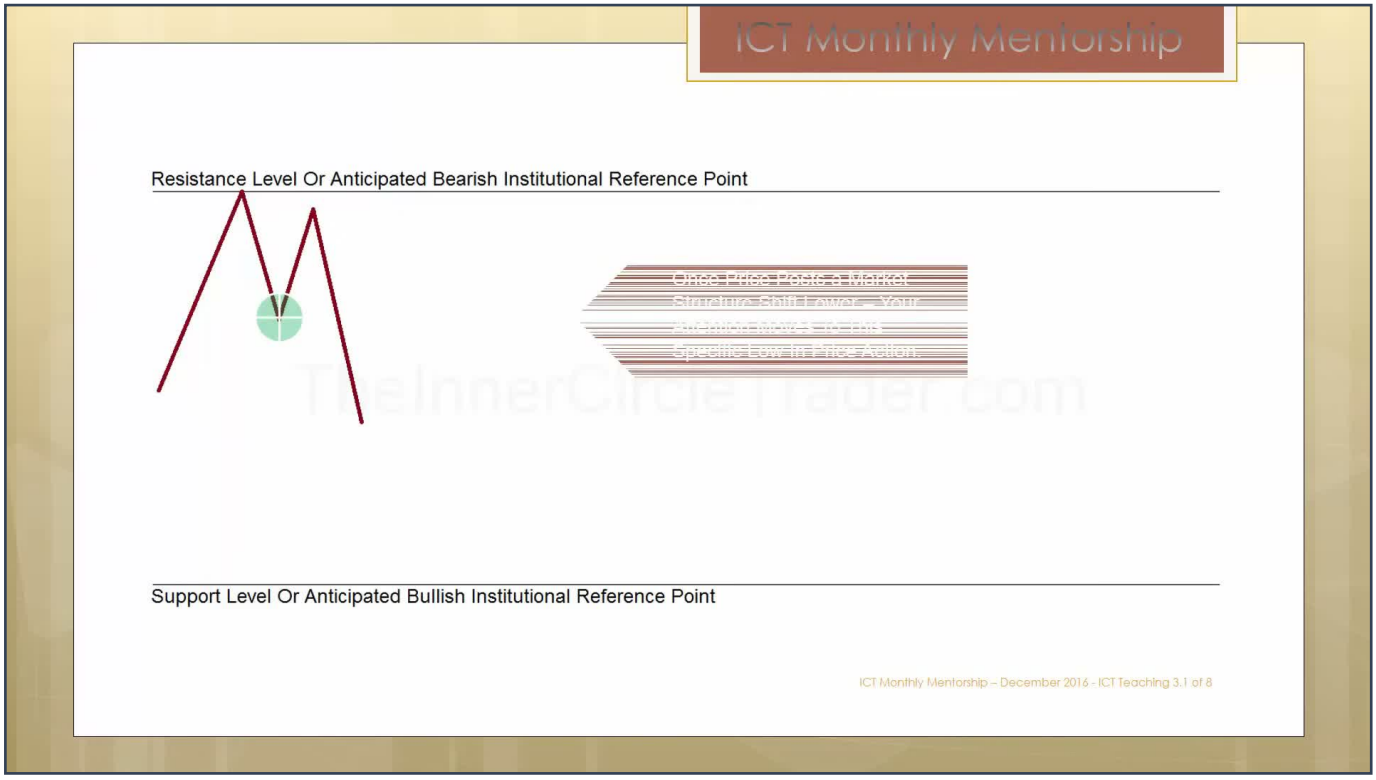
So a net shift in market structure is seen here with a break below that old low. That gives us confirmation that the market does in fact have participants on a large scale willing to drive prices lower.

And that's what we need as small traders. We have to have the willingness to have the smart money indicate their cards if you will, show in other words, show their hand. Do they want to send prices lower or do you want to send prices higher? In this case, this is indicating that the market does in fact have confirmation that it wants to go lower.



So what we do is we look at this range from that short-term low up to that short-term high. Inside that range there has been buyers, but the problem is is now those buyers are underwater.

This short-term rally in price highlights a specific institutional reference point known as the Mitigation Block.



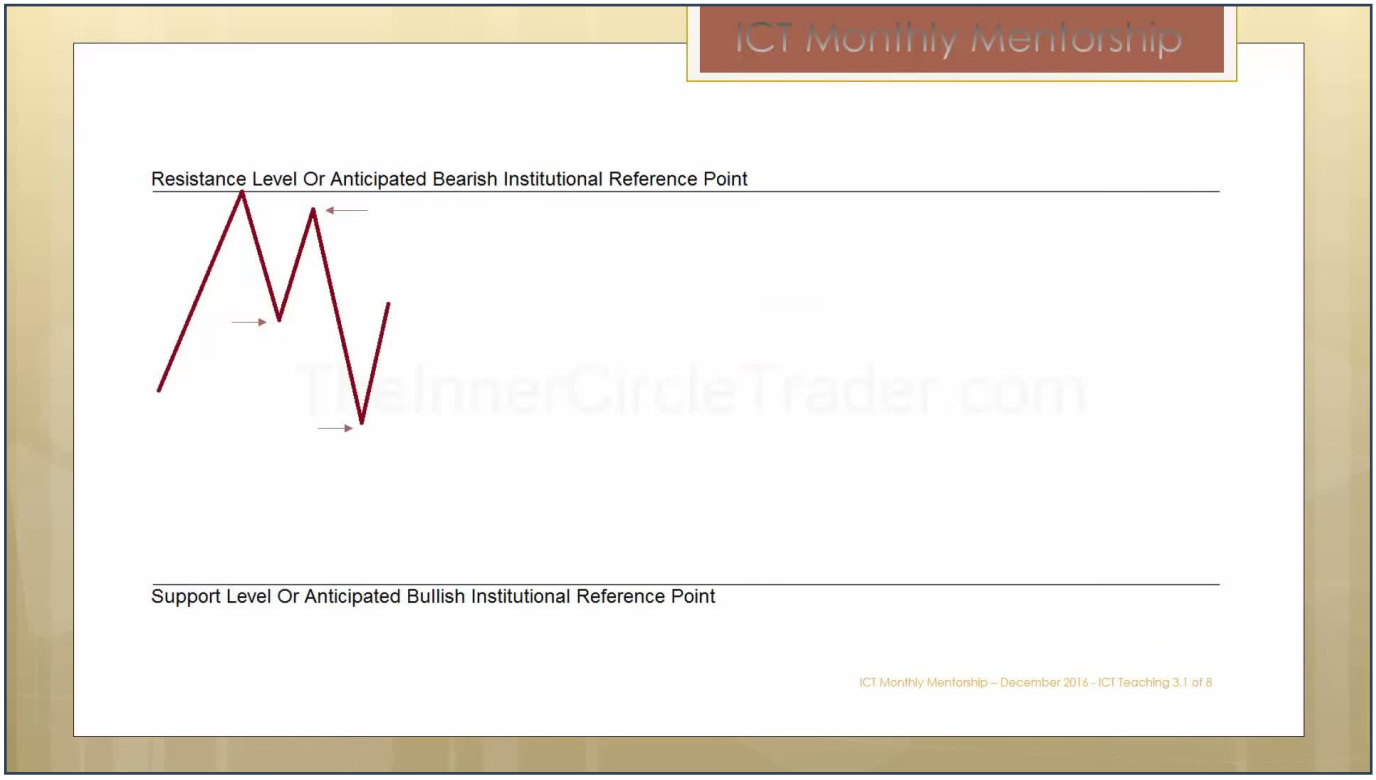
Once price posts a market structure shift lower, your attention as the trader moves to this specific low in price right there.

Inside that low, what we're going to be focusing on is the last down candle, because the last down candle is where the buying took place right before that little short-term rally up.

Since price broke below that low at a subsequent later time, which is really no rule as to how long it takes before that low is violated, we just note it and when it's broken it's seen as a short-term support level that's given way with a bearish context behind it.

So when we see that, we're seeing the evidence is that there are smart money entities behind the marketplace driving price lower.

Now at first glance, it looks like, well, this is a missed opportunity, but no, what we do is we focus on this low because that last down candle will give us a bearish level to sell into.



When price drives back up into that old short term low we just referenced, there's going to be three reference points that you need to be aware of.

The market structure shift is seen here, we're retracing back into it right there.

What three points are used at this moment?

- Point A

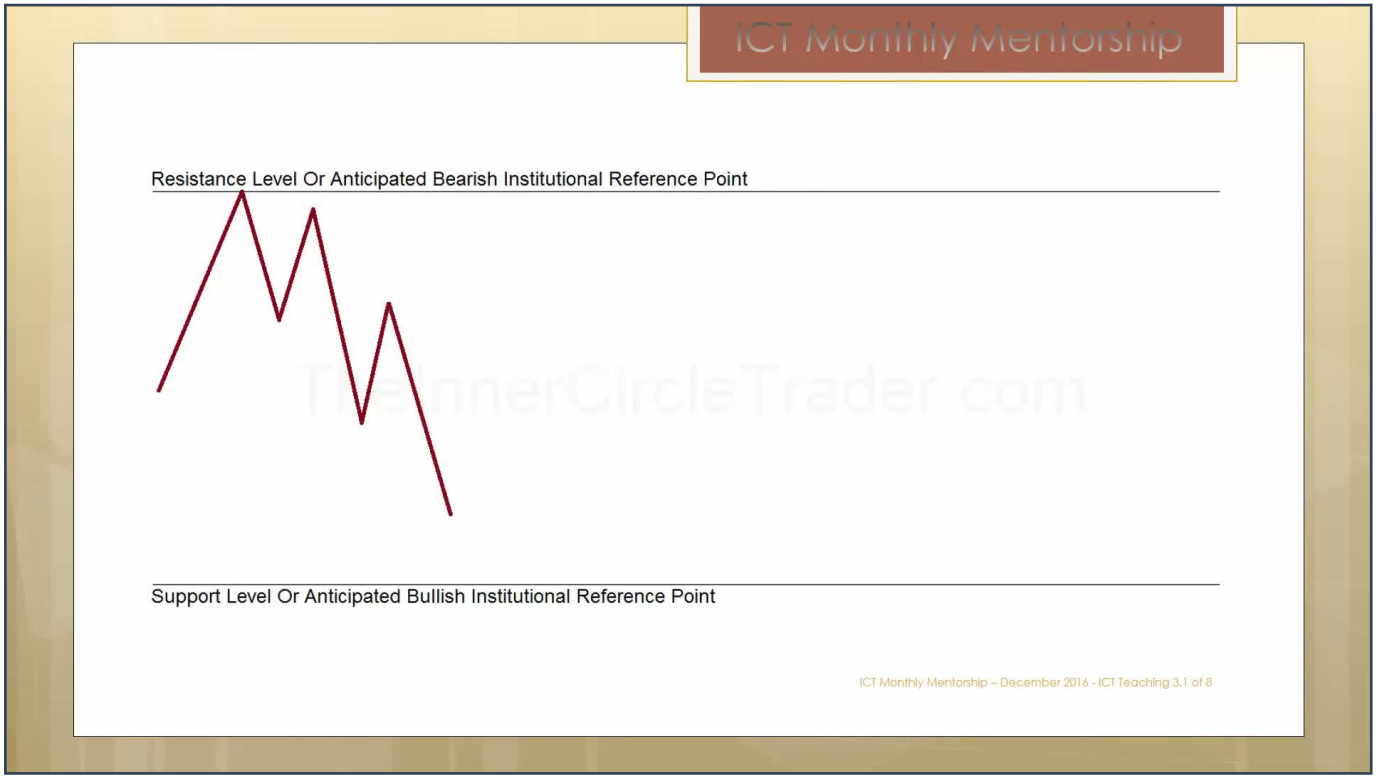
- Point B

- Point C

When price action returns to the point of a reference, the long positions taken from A to B price swing will have an opportunity to liquidate or mitigate their losses that were occurred during the price move from B to C.

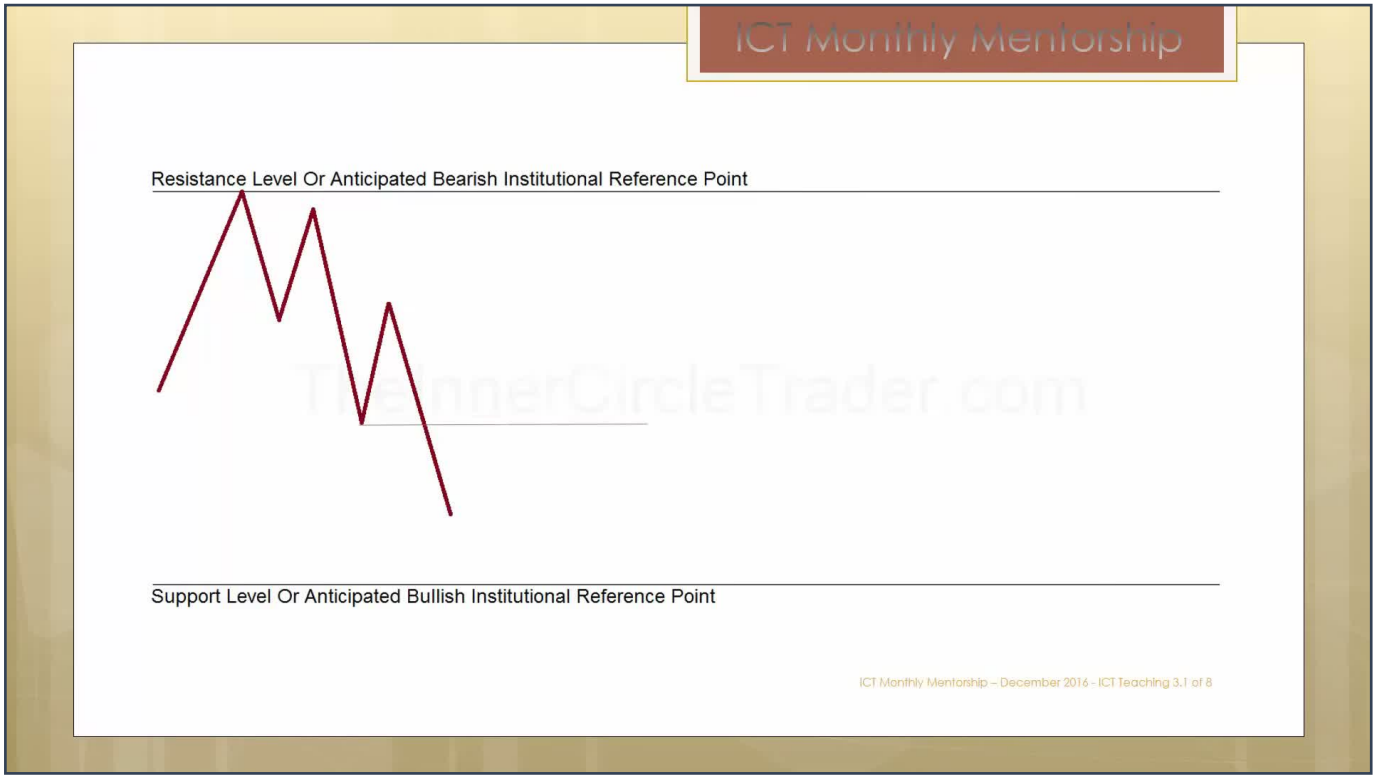
Now this can result in new lower price swings to C for retesting or a significantly lower price move into a support level that's under the market price.

In short, this is an opportunity to sell whatever particular market or asset class this is.



As the market breaks lower, let's say you look at the chart, this is what you see here, it does not mean that you've missed an opportunity, it just means that now you have a new opportunity that's unfolding.

Do the longs in here in that short term low, that has short-term high, do they need to be mitigated? We don't know for certain, but if you do have a belief that price is going to be moving lower longer term, that there's an unrealized lower support level for sell side liquidity that has not been tapped into yet, we could be viewing this short-term rally in here as an opportunity for a new selling opportunity.



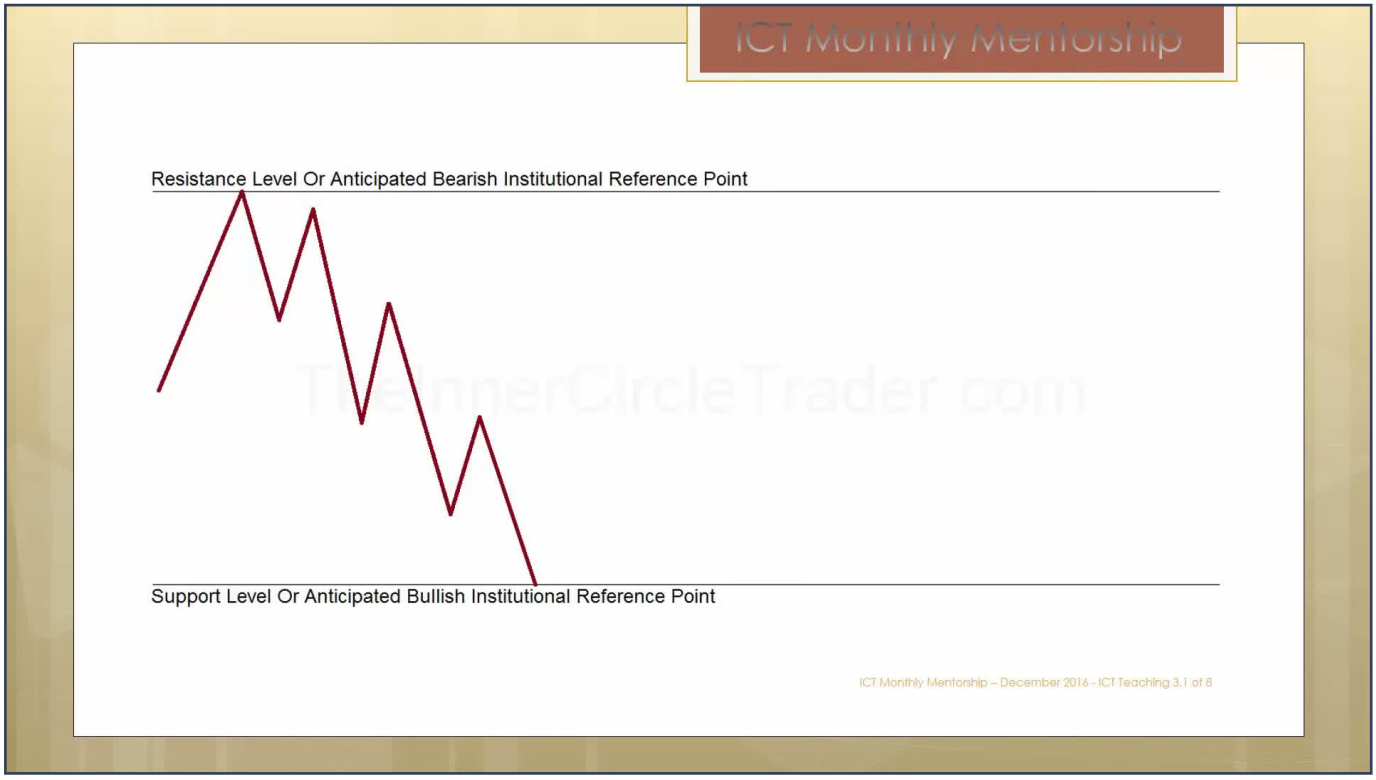
We have another Market structure shift.

So where's our focus, given what was explained in the previous example? Where's our focus right now as a trader? Why are we looking at a specific level and what are we anticipating?

That low right there. Inside that low, the last down candle, that's what we're going to be looking for price to reach back up into. If it does that, we can be a seller at that moment.

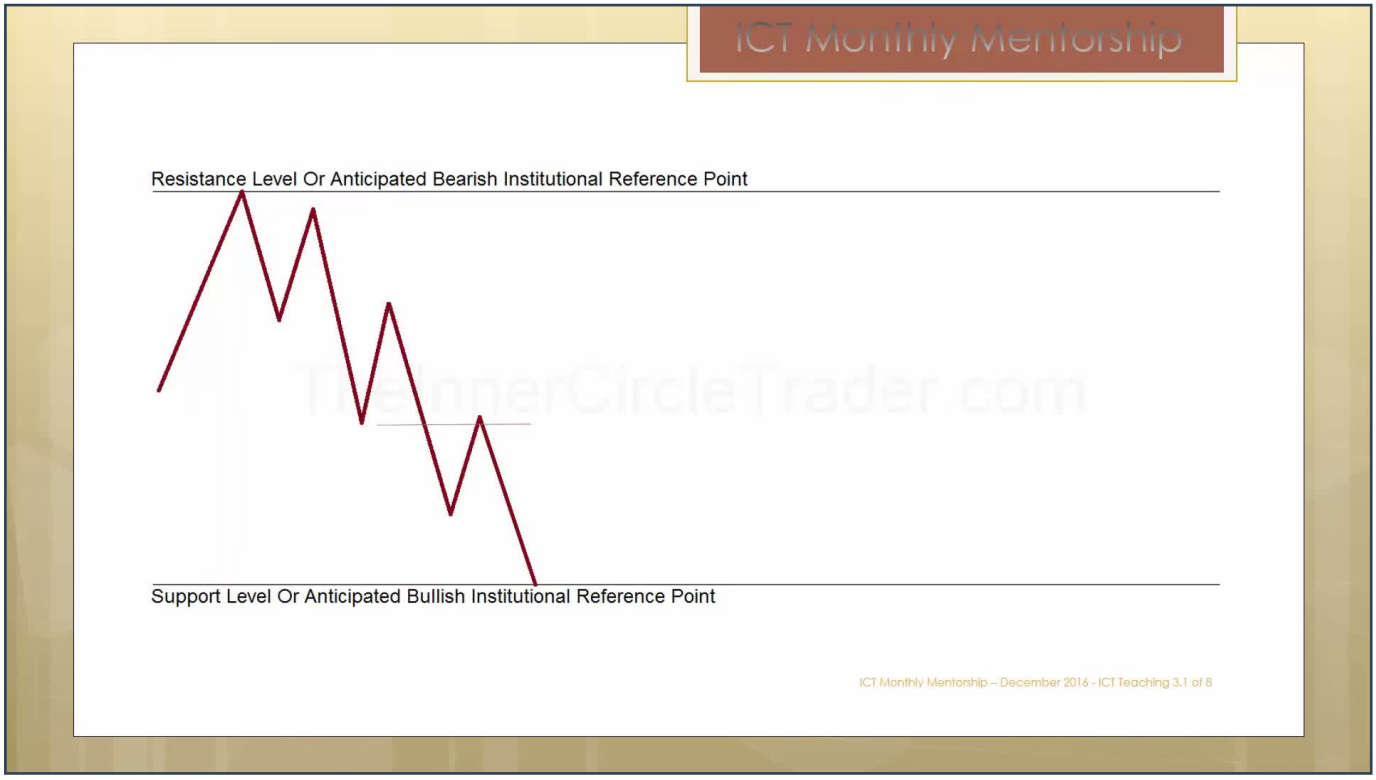
As price drives back above it into that low, we're watching price trade into that last down candle right before I had that short-term rally before it rallied at that moment here, we're looking to go short.

As price hits that last down candle in the previous short term low, where's your focus at this moment? We're anticipating price to move down from this point here which is giving us a short opportunity to run the liquidity out below this short term low here and potentially as low as our higher time frame support level.



As price hits our longer term support level or anticipated bullish institutional reference point, which could be an old high, it could be an old low, it could be a bullish order block, many many opportunities to frame that idea, but whatever that is that forms your idea for support, this is the objective that you could be reaching for.

As price hits that level, we would be collapsing our trade and moving to the sidelines waiting for new developments.

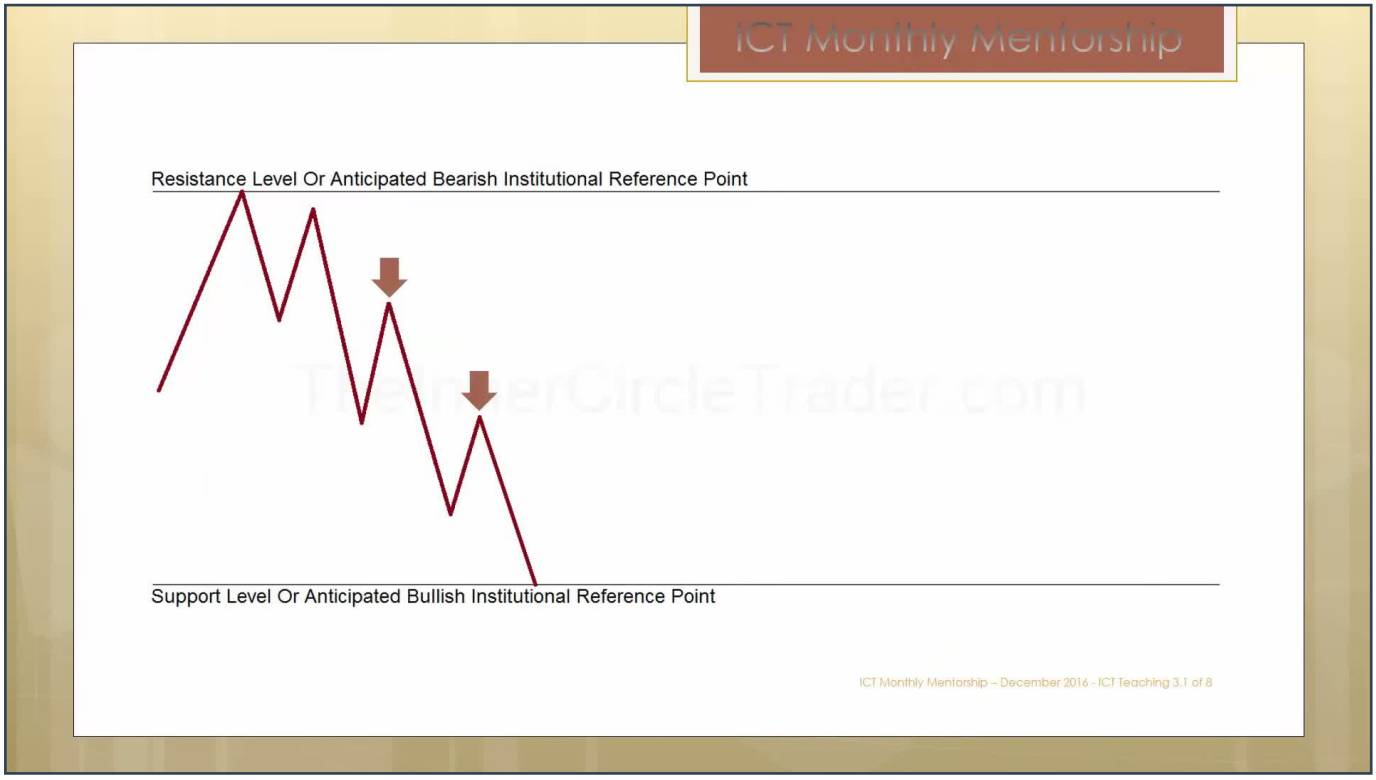


When we had this in the marketplace, what we're seeing is the classic support broken turns resistance. Every time price moves back to an old low, what's actually happening is it's referred to as buyer's remorse.

The buyers at the previous short-term low that saw a short-term pop in their favor, then eventually saw the market break below that low they bought that, when price gets back to that level, they're remorseful for buying it, so they bail.

But on an Institutional level, the smart money understands these short-term fluctuations and they can drive price on a short-term basis higher or lower through manipulation.

So if they're going to manipulate price on the short term by having large orders come in and push and bully market pricing around, they're going to want to liquidate their positions because just like anyone else, they don't want to incur losses. So this gives them the opportunity to mitigate those losses.



Premium price highs are bought by less informed traders and sold by smart money. Which are you going to be grouped in?

LIVE EXAMPLE SETUP - LIQUIDITY VOID AND FAILURE SWING

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We're going to look at a quick example, and I draw your attention to a liquidity avoid in here. And there's equilibrium of that liquidity void, body's a body end, or where's the open and close?

And we're going to highlight that reference point here except halfway point of this equilibrium.

The idea is we broke this high back here, we're expecting continuation on the upside.

Market trades higher, but it shows a breakdown in here.

In here this failure swing right there. We're going to be looking at this low.

FIRST MITIGATION BLOCK IN ACTION (LOWER TIME FRAME)

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And I'm just going to drop horizontal lines in on the respective lows. And this will be a new Mitigation Block.

When we drop down into the lower time frames in order to sell off there, it sells off, breaks this low here. The last down candle on this move here is there. So once price trades back up, that's a sell right in here. And choose it just overshoots it by a little bit, but nonetheless it breaks lower.

Right here. So now our attention is on this low.

Every rally that sees lower prices needs to be mitigated right here. So if we trade back up to that low, that's a sell, right there's a sell.

We're going to be aiming for a move back below this low, ultimately down into our equilibrium of our liquidity void right here. Well, it comes in at 111.48, 1148.

Here's a short-term low, hits it, trades lower, trades back up into the last down candle, hits it, overshoots a little bit but it's inside the body of the candle, which is what a Mitigation Block represents. Price trades down below the last down candle here, and we have another lower low here so we can adjust that one to that low there, right there.

Price hits that objective is going to be break below this low, sells off, goes through it and ultimately goes down into our mean threshold of the liquidity void. So a couple different things shown in here as an overlap study on mitigation.

30-MINUTE CHART APPLICATION AND STOP LOSS PLACEMENT

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Let's take a look at a 30-minute chart on the same price action.

Here's the mean threshold liquidity void. Last down candle great for the up move. Price hits it, sell it right there. This is a Mitigation Block. Everything that was used to drive price higher once it's traded below here it's underwater. They're going to want to mitigate those losses at that candle. Sell short.

This last down candle here is violated here. It probably trades back up to it here. We can be a seller. The bodies, the whole entire candle is used, not just the bottom, but we can be a seller down here. So it could be a short seller at 112.62.

And our stop has to be somewhere above the down candle in here. Okay, so that high on this candle comes in at 112.89. So it needs to be above that in the form of a stop.

So we could be seeing just a little bit of drawdown in here about 20 Pips or so, but never getting much above this down candle. Probably trades lower, violates a very convincing breakdown here. Last down candle, the low, trades up. Now again, notice the body of the candle is not violated. This is hallmark characteristics of a Mitigation Block.

Price trades up into it. We're expecting prices below this low now and ultimately reaches down into our mean threshold of the liquidity void. Then ultimately I'll give you a view of what took place. Price eventually started moving back up.

So hopefully this helped you with Mitigation Blocks. We will still talk more about it again in the PDF file for your December 2016 ICT Mentorship study notes. Until next time, I wish you good luck and good trading.